INDIANA STATE POLICE	***STANDARD OPERATING PROCEDURE*** State Form 39870 (R/ S- 06)	Reference Number HMR-042
	Subject Spot Bonus	
	Special Instructions Replaces HMR-042 dated March 1, 2024	Effective Date **March 10, 2026**

I. PURPOSE

Establishes the Department policy for a spot bonus that is awarded to employees based on performance or achievements that deserve special recognition.

II. POLICY

The Spot Bonus program is designed to recognize exceptional performance by employees through a monetary spot bonus award. Individual and/or team/group contributions may also be recognized. Under this program, recipients may receive no more than two spot bonus awards within one fiscal year, not to exceed more than $1,000.00 for any single award or exceed $2,000.00 cumulatively.

III. DEFINITIONS

A. APPROVING AUTHORITY - The Superintendent, or designee, that is responsible for final approval of the spot bonus.

B. NOMINATOR – any employee of the Department may nominate another employee for a spot bonus that meets the criteria below. A nominator may be the supervisor of the nominee, or another employee. Employees may not nominate themselves for a spot bonus.

C. NOMINEE – any Department employee (in good standing) nominated to receive a spot bonus as outlined in this policy.

D. SPOT BONUS – a monetary one-time award of a specified dollar amount (not added to base salary) granted to an eligible employee that meets the criteria below. A spot bonus is subject to income tax withholdings and any regular percentage benefits withholdings.

IV. ELIGIBILITY CRITERIA

A. To qualify for a spot bonus as outlined in this policy, the nominee must:

1. Not have been the recipient of a work improvement plan, disciplinary action, or letter of counseling in the six (6) months prior to nomination;
2. Have been successful in meeting all performance expectations and competencies; and
3. Have met at least one of the following criteria to include, but not limited to:

a. Demonstrate exceptional performance, completion of a project ahead of schedule with results that exceeded expectations, creation of a solution to a problem, or provided exceptional customer

service (internal and/or external);
b. Assumed and successfully performed additional workload for a significant period; or
c. Accomplished a task or project that falls outside or beyond the scope of the employee's regular day-to-day tasks and assignments.

V. **PROCEDURE**

A. Spot bonus nomination, processing, and approval must follow these procedures:

1. The nominator shall prepare and submit the Spot Bonus Nomination Form to the nominee's supervisor.

2. The nominee's supervisor shall verify compliance with eligibility criteria and determining whether a reward is appropriate.

3. If appropriate, the nominee's supervisor shall endorse the Spot Bonus Nomination Form and forward it, if applicable, to their next in command for endorsement up through their respective Major or Director.

4. Once the chain of command of the employee has completed endorsement, the Spot Bonus Nomination Form shall be forwarded to the Human Resources Director for processing.

5. The Human Resources Director is responsible to:

a. Ensure the nomination form is complete;
b. Submit the nomination to the Superintendent, or designee, for review;
c. Submit the form to the Fiscal Director, if approved by the Superintendent; and
d. Notify the employee's respective commander the award has been approved or denied.

6. The Fiscal Director is responsible to:

a. Complete payment processing when a bonus has been awarded, tracking the annual bonus compensation total, and ensuring compliance with FMC 2021-1;
b. Notify the nominee's supervisor of the bonus approval and the date of deposit;
c. Return the completed Spot Bonus Nomination Form to the Human Resources Director for retention in the employee's personnel file;
d. Track spot bonus award amounts of all ISP personnel on a Fiscal Year basis.

B. Notification Process

The employee's supervisor notifies the employee of the spot bonus, **after** it has been approved at all levels and processed through payroll.

Monetary Reward (Spot Bonus) Options
Up to $100.00

$100.00 to $250
$251.00 to $500.00
$500.00 - $1,000.00

C. This procedure is to be used in conjunction with all relevant Department regulations, rules, policies and procedures.